

Fearnleys Dry Bulk Weekly

Feb 5, 2025

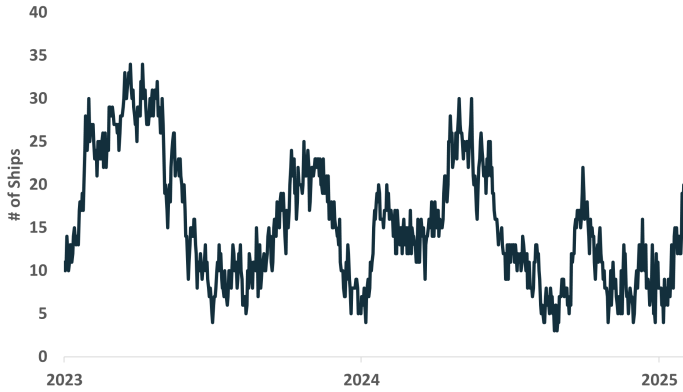
Bernhard Baardson



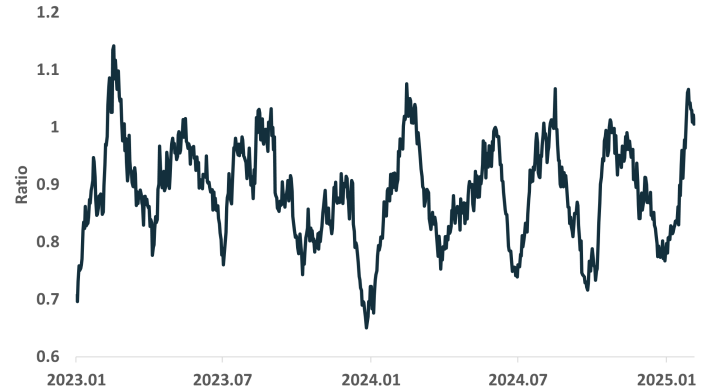
Capesize/Newcastlemax

Several indicators still suggest a market rally will occur soon. Ballaster/laden vessel ratios are at extremes, a high number of VLOCs will soon be laden and the iron ore price lead is pointing upwards. However, China's imported iron ore consumption is yet to suggest an upturn. So, ideally there should be a rebound over the next weeks in this data to be more certain that a rally will start this month.

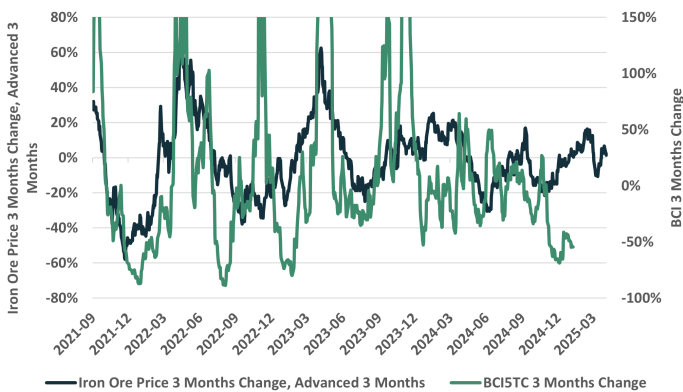
VLOCs Waiting to Load in Brazil



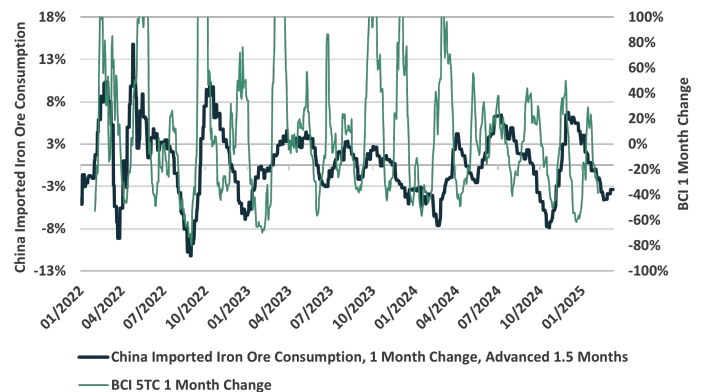
Cape/Newc Ballaster/Laden Vessel Ratio



Iron Ore Price Change (3 Months Lead) vs BCI5TC



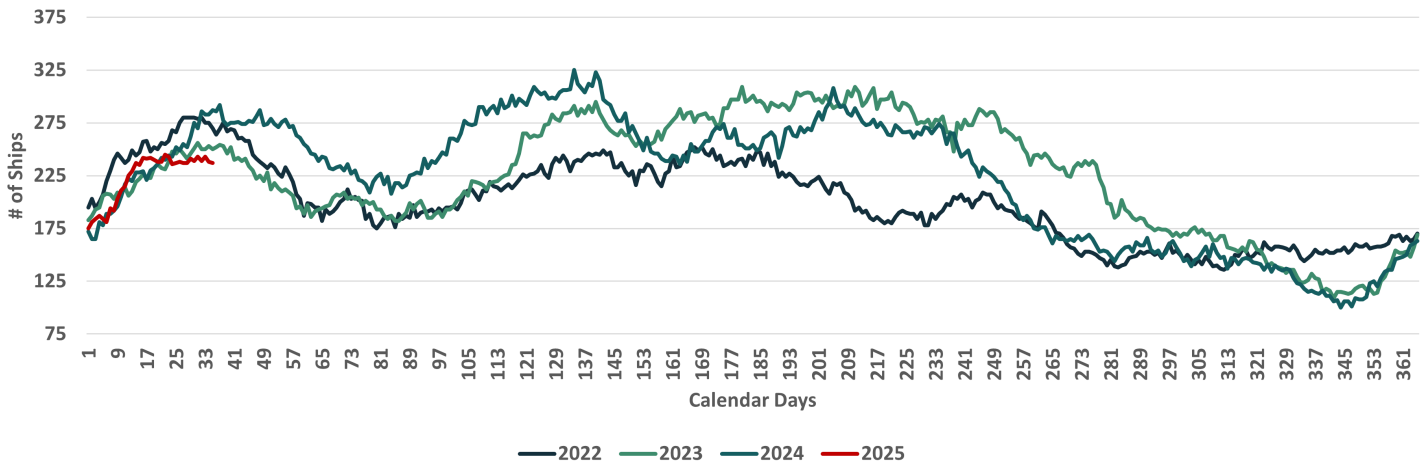
China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change



Panamax/Kamsarmax

The Soybean harvest in Brazil is 12% completed vs 40% completed by the same period last season. Export volumes are projected at record highs this year by the IGC, which bodes well for the market over the coming months. However, fundamentals are likely to be suppressed by weakness in coal markets and developed economies, so the index average is likely to remain below last year's levels going forward.

Panamax / Kamsarmax Heading to Argentina or Brazil, by Year



Supramax/Ultramax

On average, the market is at the seasonal low point now, and should improve in the coming weeks. JP Morgan's global manufacturing PMI edged into expansion in January, and industrial metals prices are showing some resilience. However, overall fundamentals does not look strong, so we still expect spot market levels to remain below that of last year.

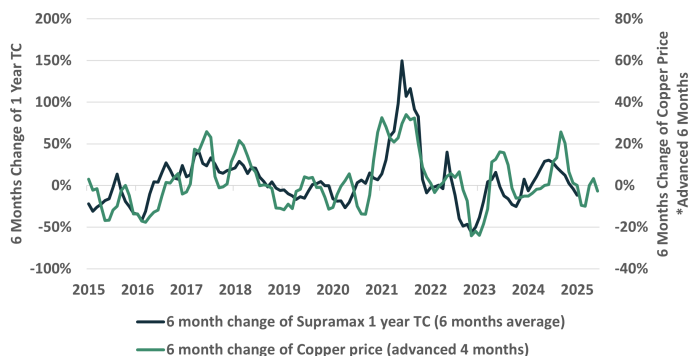
Supramax / Ultramax Heading to China



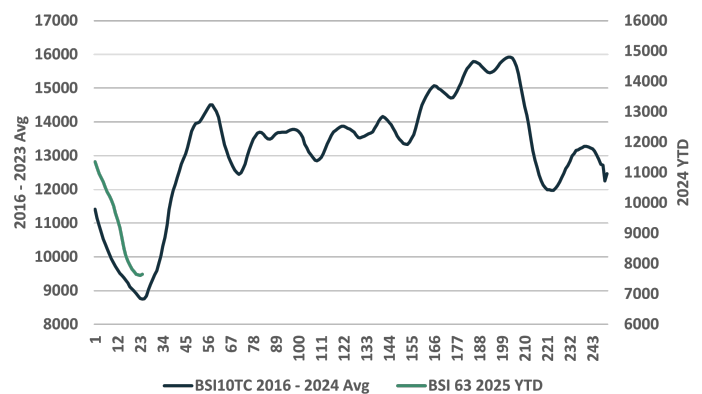
Supramax / Ultramax Heading to India



Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Seasonal Average





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